ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - STOCK TRADING - USING OPTIONS

Welcome back to the June 2017 ICT Mentorship, Stock Trading Lesson Four, focusing on valuation and stock selections. As an investor, it is imperative to incorporate Investors Business Daily (IBD) into your repertoire of resources and tools. This resource has been utilized since the late 90s and is considered invaluable, offering, in my opinion, the best fundamental slant on stocks available anywhere.

INVESTORS BUSINESS DAILY: SUPERIOR TO TRADITIONAL RESOURCES

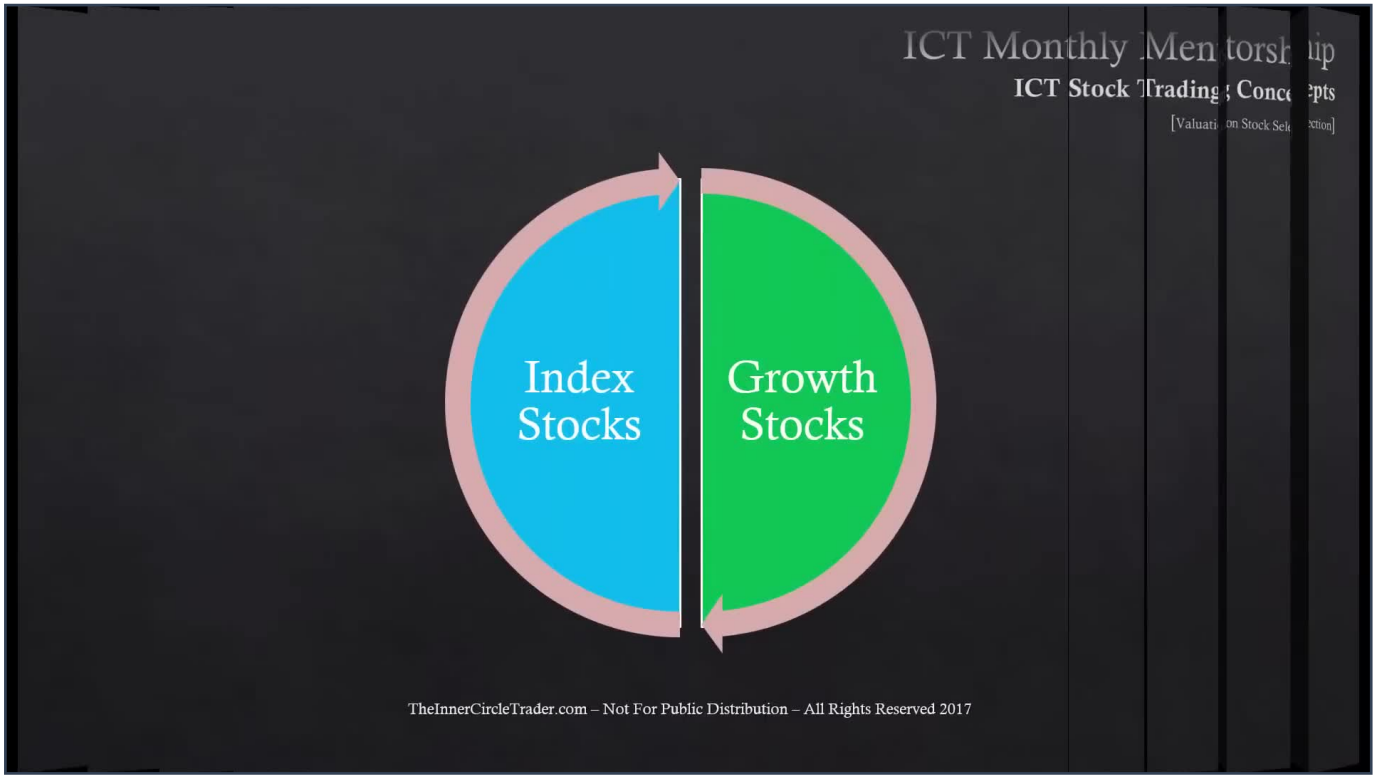
TIMESTAMP: 00:01:02

As a young trader, subscribing to the Wall Street Journal felt 'stuffy' and not user-friendly. In contrast, Investors Business Daily has consistently presented information in an easy-to-understand and well-organized manner. Their approach to cracking the code of real supply and demand factors behind stocks has always been cutting-edge.

For fundamental valuation, there are legitimate reasons to buy stocks, even if their future profitability isn't guaranteed. For number crunching, Investors Business Daily is the premier resource. This teaching is highly dependent on your familiarity with IBD. It's available in digital form and offers a four-week free trial. You'll be reminded in the second week of September to subscribe for this trial. This recommendation is based on genuine usage, not a sales endorsement.

IBD is a core resource for my analysis, extending to currencies and commodities. Post-mentorship, around September-October, a bonus teaching will demonstrate a live stock market analysis, breaking down industry groups, sectors, and leadership using my price action study tools, specifically tracking seasonal lows. Approximately 80 percent of this teaching is derived from William O'Neill's 'How to Make Money Trading Stocks,' a timeless and pertinent book. However, the practical application of O'Neill's information necessitates the Investors Business Daily Newspaper.

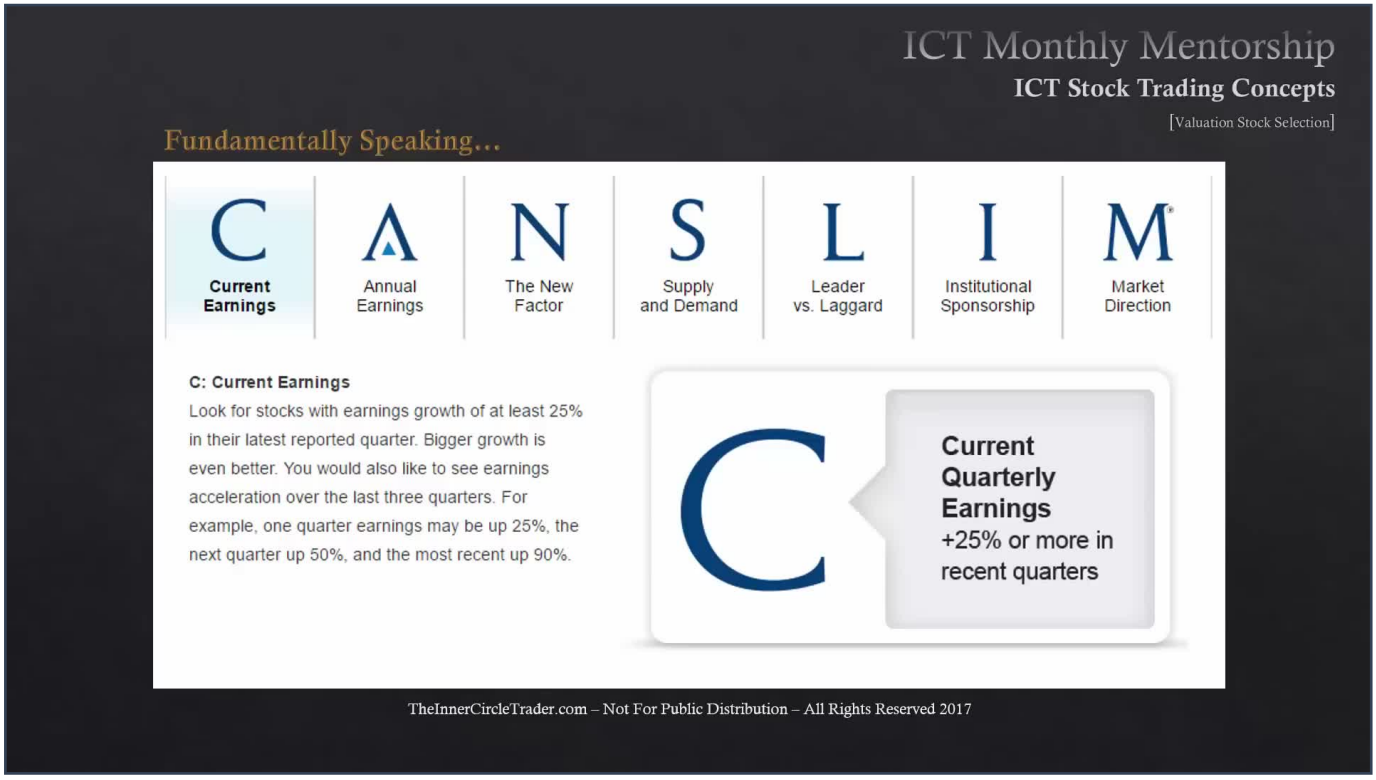
Even if you don't trade stocks, this resource is highly recommended. Subscribing isn't mandatory; you can often find the weekend edition at local newsstands, which includes comprehensive stock breakdowns and fundamental ratings. Historically, I spent hours analyzing the printed version. While digital access is convenient, I still receive the weekly print edition. For cost savings, purchasing the newspaper once or twice a month is sufficient, especially when waiting for technical alignment, as will be discussed. IBD remains one of the best resources for a trader.



Having covered index stocks (Dow 30, NASDAQ 100, S&P 500), this lesson shifts to valuation and selection of growth stocks, which are known for astronomical surges. This valuation format is based on William J. O'Neill's CAN SLIM acronym. The initial letters (CANSLI) provide the fundamental basis for stock breakdown, while the final letter (M - Market Direction) incorporates my unique technical analysis and market timing concepts. O'Neill's market timing approach is considered insufficient. By combining seasonal patterns, fundamental analysis, and precise market timing, we achieve a robust stock picking analysis concept.

CAN SLIM - C: CURRENT EARNINGS

TIMESTAMP:
00:08:35



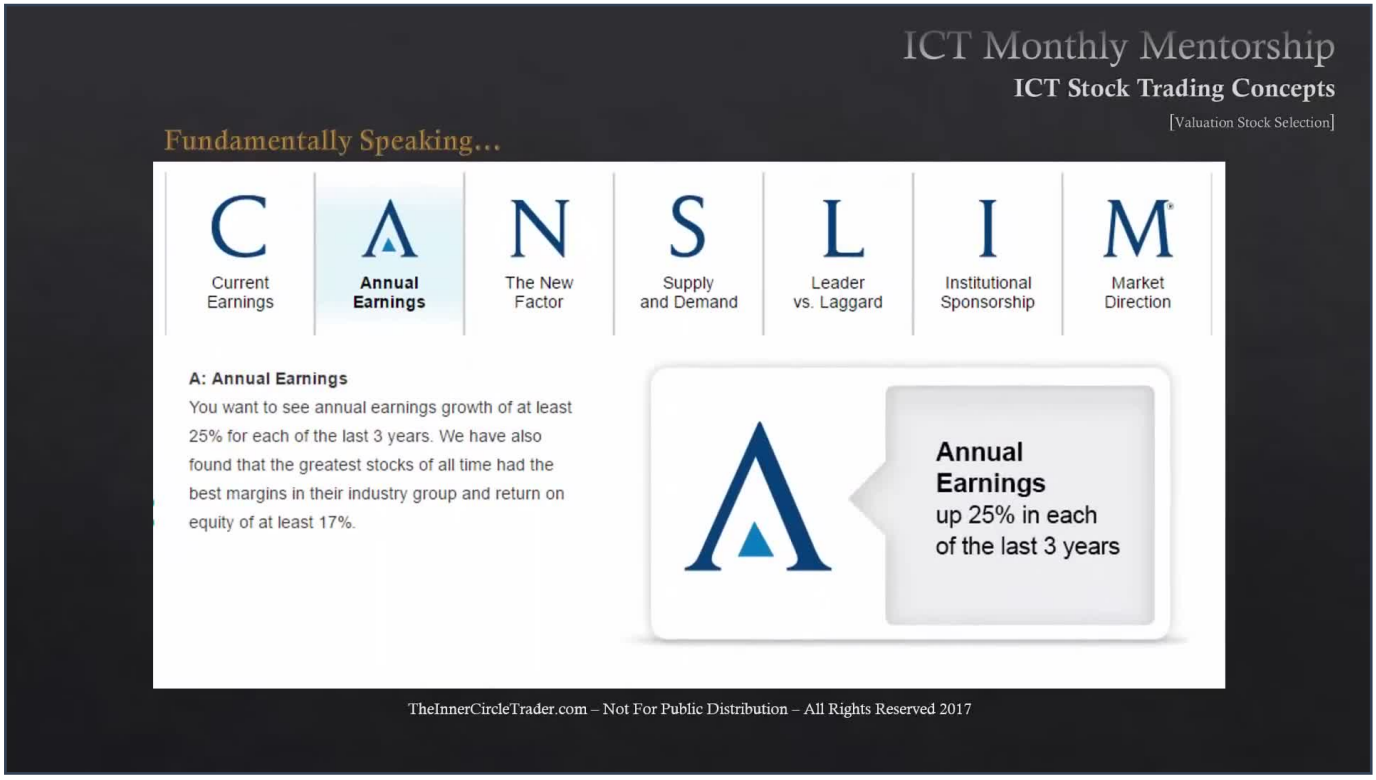
The 'C' in CAN SLIM stands for Current Earnings. When evaluating stocks, look for:

- Earnings growth of at least 25 percent in the last reported quarter.

- Larger growth is preferred.

- Accelerated earnings over the last three quarters (e.g., 25 percent, 50 percent, 90 percent increase).

- Ideally, a building increase in earnings, not just steady growth.



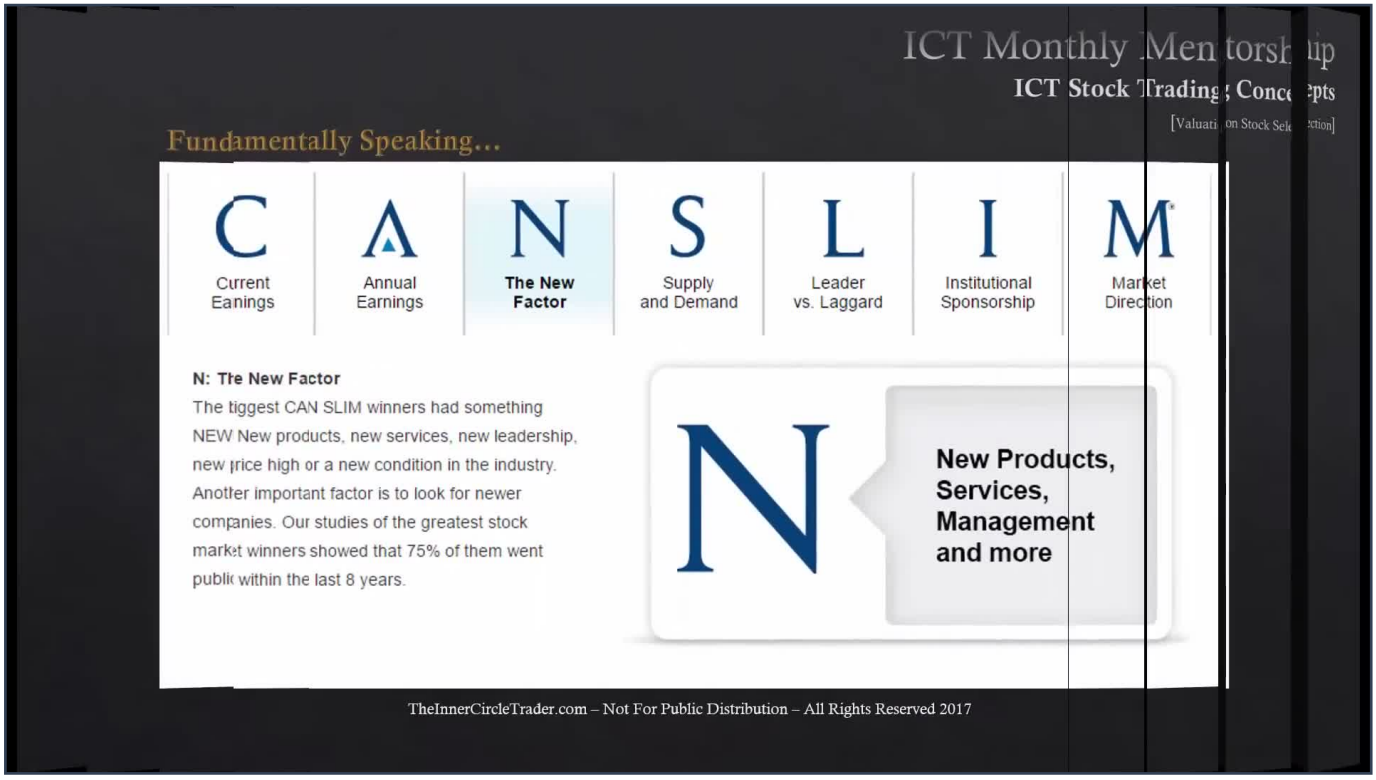
The 'A' in CAN SLIM denotes Annual Earnings. Seek stocks with:

- Annual earnings growth of at least 25 percent for each of the last three years.

- Best margins within their industry group.

- Return on equities of at least 17 percent.

Many of these concepts will be clarified during the practical stock selection session in the fall. This will be a dedicated live session where I will demonstrate the process, showing how to gather this information. While some data (like quarterly and annual earnings) can be found easily on platforms like BarChart or MarketWatch, other specific ratings will require Investors Business Daily.



The 'N' in CAN SLIM represents the New Factor. The most significant CAN SLIM winners consistently had something new, which could be:

- A new product.

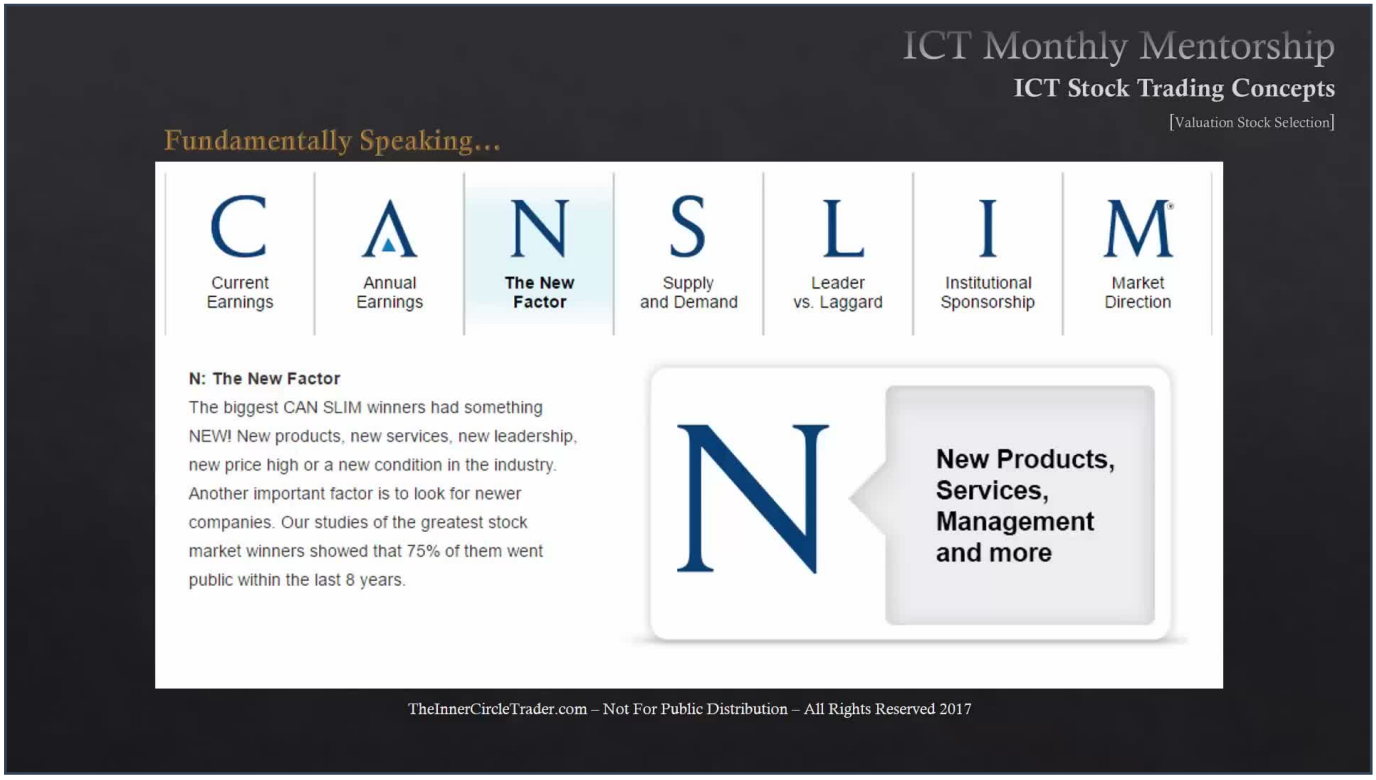
- A new service.

- New leadership or management.

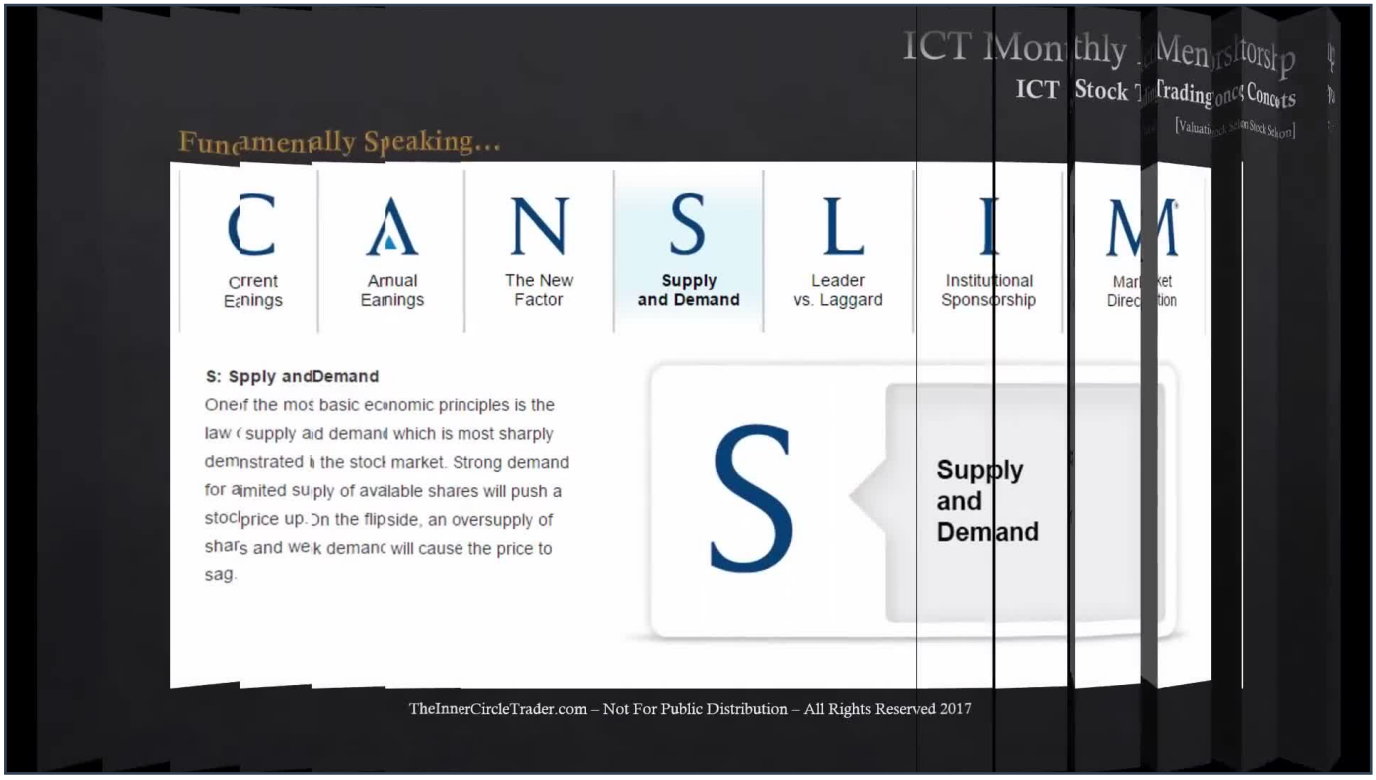
- A new price high.

- A new condition in the industry.

Studies indicate that 75 percent of great stock winners went public within the last eight years, emphasizing the importance of newer companies. For example, Facebook's IPO presented a new horizon opportunity. Despite an initial pullback, the fresh idea and widespread interest drove its price from around $20 to over $100 per share within approximately three and a half years.



Beyond new IPOs, look for companies with fresh ideas, new spins, or revamps. Apple's new iPhone updates, for instance, consistently generate new interest. Changes in management can also spur new buying interest. Once you have a watch list of stocks with strong current and annual earnings, use a Google search to uncover any 'new' developments that could attract investor attention. Institutional money, held by mutual funds and insurance companies, is drawn to these new factors, leading to significant purchasing and share price appreciation. This institutional interest, combined with strong current and annual earnings, is highly beneficial.



The 'S' in CAN SLIM stands for Supply and Demand, not technical supply and demand. This refers to the economic principle where strong demand for a limited supply of available shares pushes prices up, while oversupply and weak demand cause prices to decline. We seek stocks that:

- Are well-valued, ideally above $20 per share.

- Have a reasonable 'float,' meaning the outstanding number of shares available for purchase.

When comparing stocks with strong earnings, new factors, and differing floats, the one with fewer outstanding shares (lesser float) has greater upside potential. Smart money buying into a limited float makes it easier for prices to be repriced upwards due to the concentrated demand.

CAN SLIM - L: LEADER OR LAGGARD (RELATIVE STRENGTH)

TIMESTAMP: 00:16:02

The 'L' in CAN SLIM refers to Leader or Laggard. True leaders are companies demonstrating:

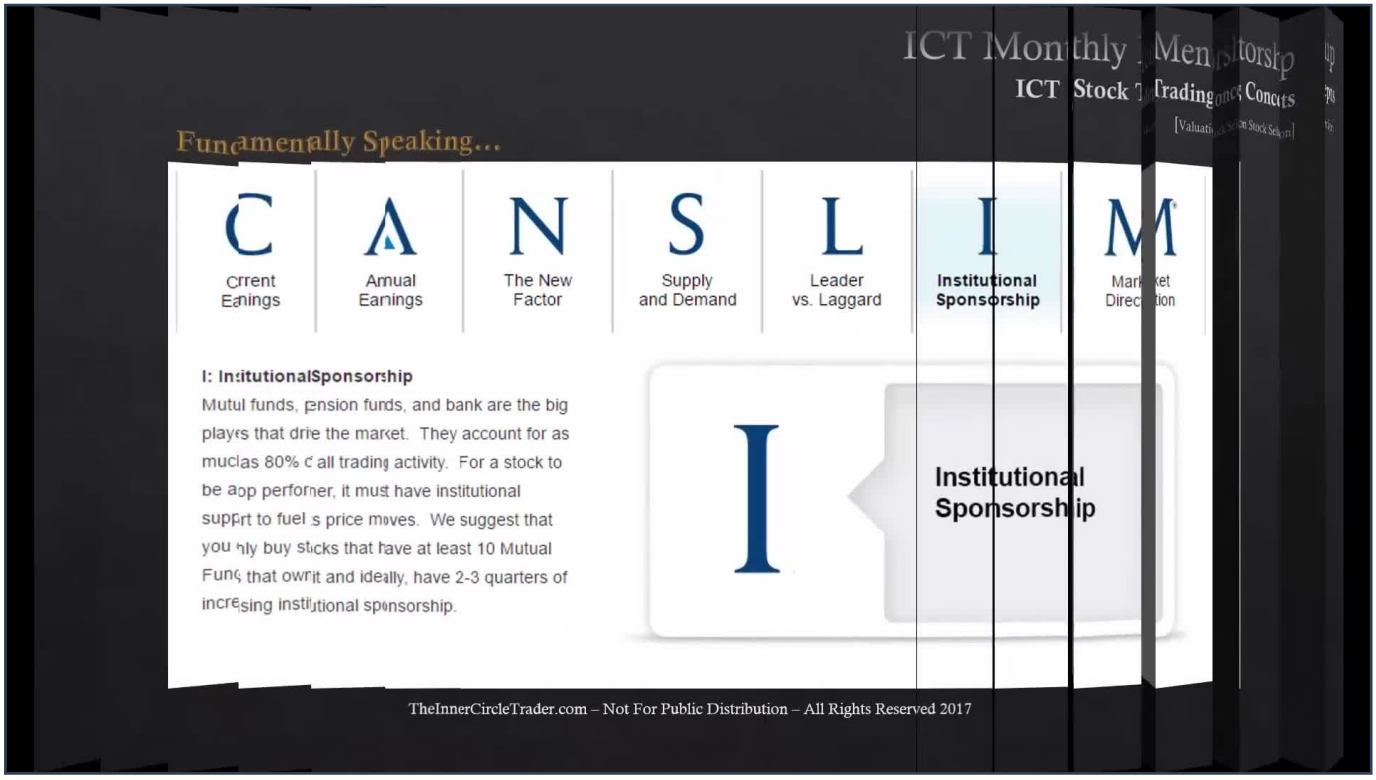
- Best earnings growth.

- Strongest sales.

- Superior price performance.

- Belonging to leading industry groups.

The concept of 'buying high and selling higher' is essentially identifying a low resistance liquidity run. Price is already advancing, having moved away from a discount array, signaling a reach for buy-side liquidity. Investors Business Daily's studies confirm that 'the strong got stronger,' which forms the basis of my relative strength analysis. We aim to identify these leadership issues where smart money is already investing heavily, anticipating significant price appreciation. The goal is to locate strong leading companies and avoid weak, laggard performers.



The 'I' in CAN SLIM signifies Institutional Sponsorship. This is crucial as mutual funds, pension funds, and banks are the primary drivers of stock markets, accounting for up to 80 percent of trading activity. For a stock to perform exceptionally, it needs institutional support to fuel its price movements. Ideal stocks should:

- Be owned by at least 10 mutual funds.

- Show two to three quarters of increasing institutional sponsorship.

Investors Business Daily simplifies this process with its ranking system and stock scanner, allowing you to quickly identify stocks that meet these fundamental criteria. Their institutional sponsorship tab is particularly effective when used strategically during opportune buying periods throughout the year.

The final letter, 'M,' refers to Market Direction. Three out of four stocks follow market trends, so aligning your trades with the overall market is crucial, buying only in confirmed uptrends and protecting capital during corrections. For market direction, I rely solely on Dow Theory for technical analysis, combined with my perspective on institutional sponsorship, institutional order flow, and premium and discount arrays. This, alongside quarterly shifts and seasonal tendencies, forms my unique market timing methodology. This approach classifies market cycles, identifying specific times of day, week, month, and year that are superior for bullishness or bearishness, a framework I developed after evaluating numerous trading theories pre-2000.

Leveraging seasonal influences for stock rallies allows for strategic market study a month prior to the anticipated move. This involves identifying companies that exhibit:

- Strong current and annual earnings.

- New products, management, or other attention-grabbing developments.

- A reasonable open float for existing shares.

- Evidence of mutual fund inflows.

- Leadership within their industry group and sector.

By combining these CAN SLIM factors with the knowledge of overall market timing (which has already been taught), you effectively amplify the power of Investors Business Daily's statistics, putting them 'on steroids' for superior results.

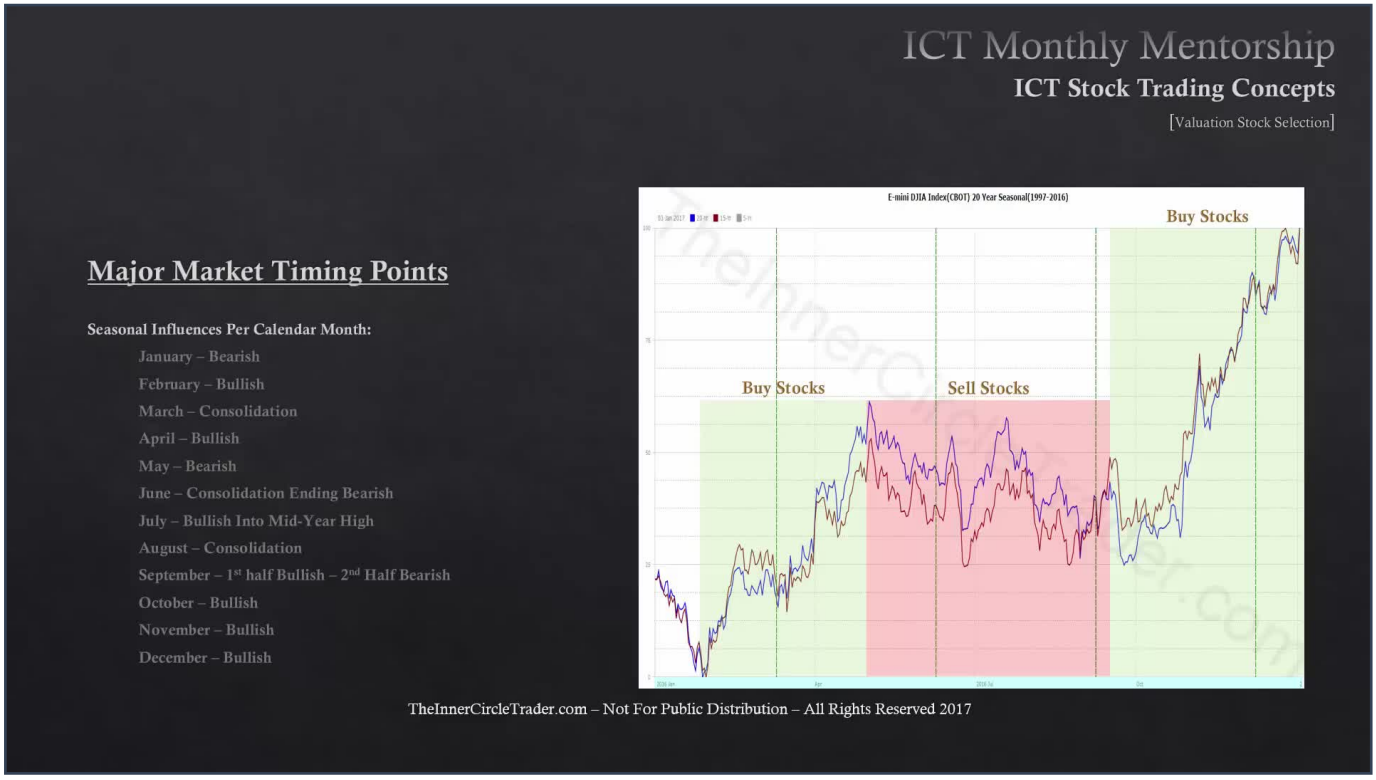
The core of this approach involves understanding major market timing points and seasonal biases, simplifying complex theories like Elliott Wave. The basic seasonal trading rules are:

- Buy stocks: February to May.

- Sell or short stocks: May to mid-September.

- Buy stocks: Mid-September to the end of the year.

This strategy focuses on when 'smart money' (large deep-pocket investors) is operating. By aligning with these repeating seasonal influences and filtering for fundamentally strong, leading stocks that fail to make lower lows during buying periods, you will naturally identify leadership issues. In the upcoming fall session, I will demonstrate this process live, manually sorting through stock tables, showing how to leverage Investors Business Daily's institutional sponsorship rating to identify strong leadership stocks.



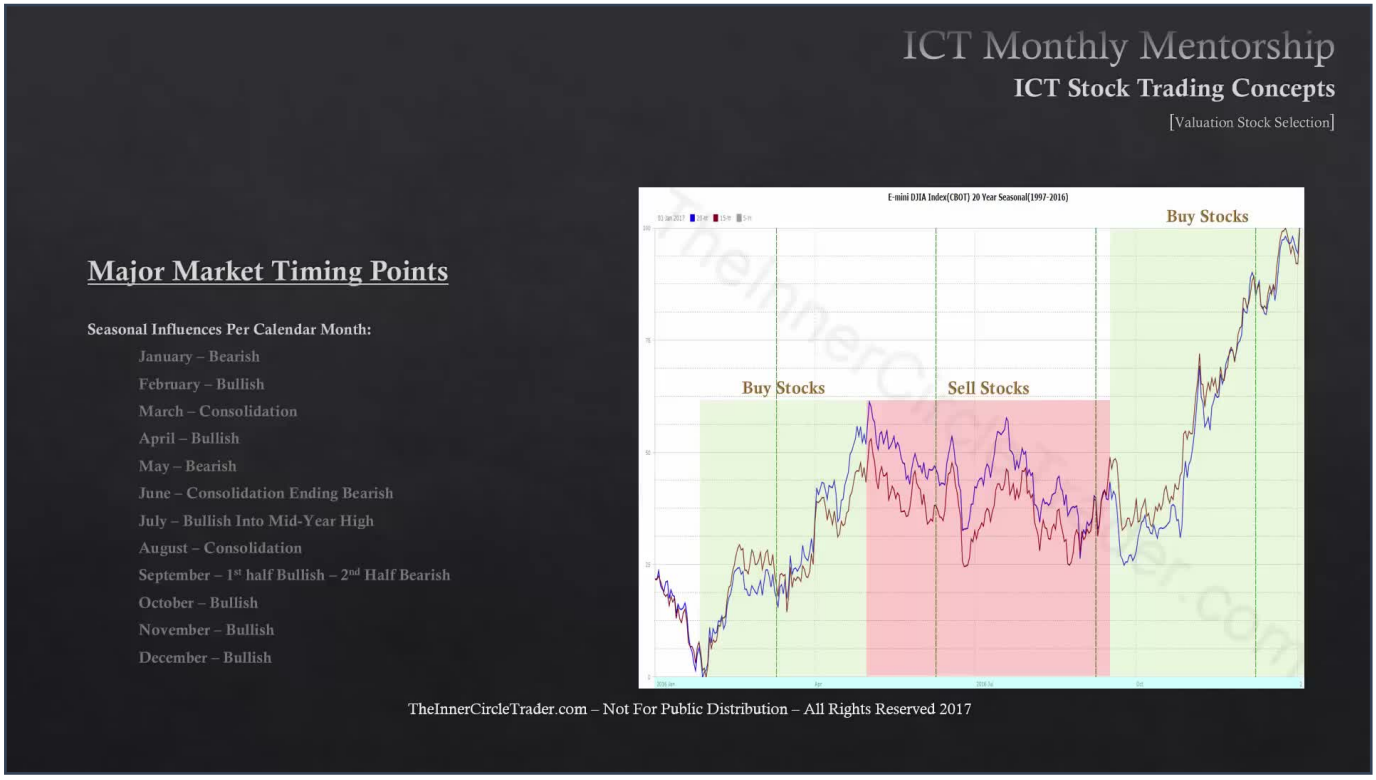
During the fall analysis session, we will comprehensively review:

- The Darlings of the Dow.

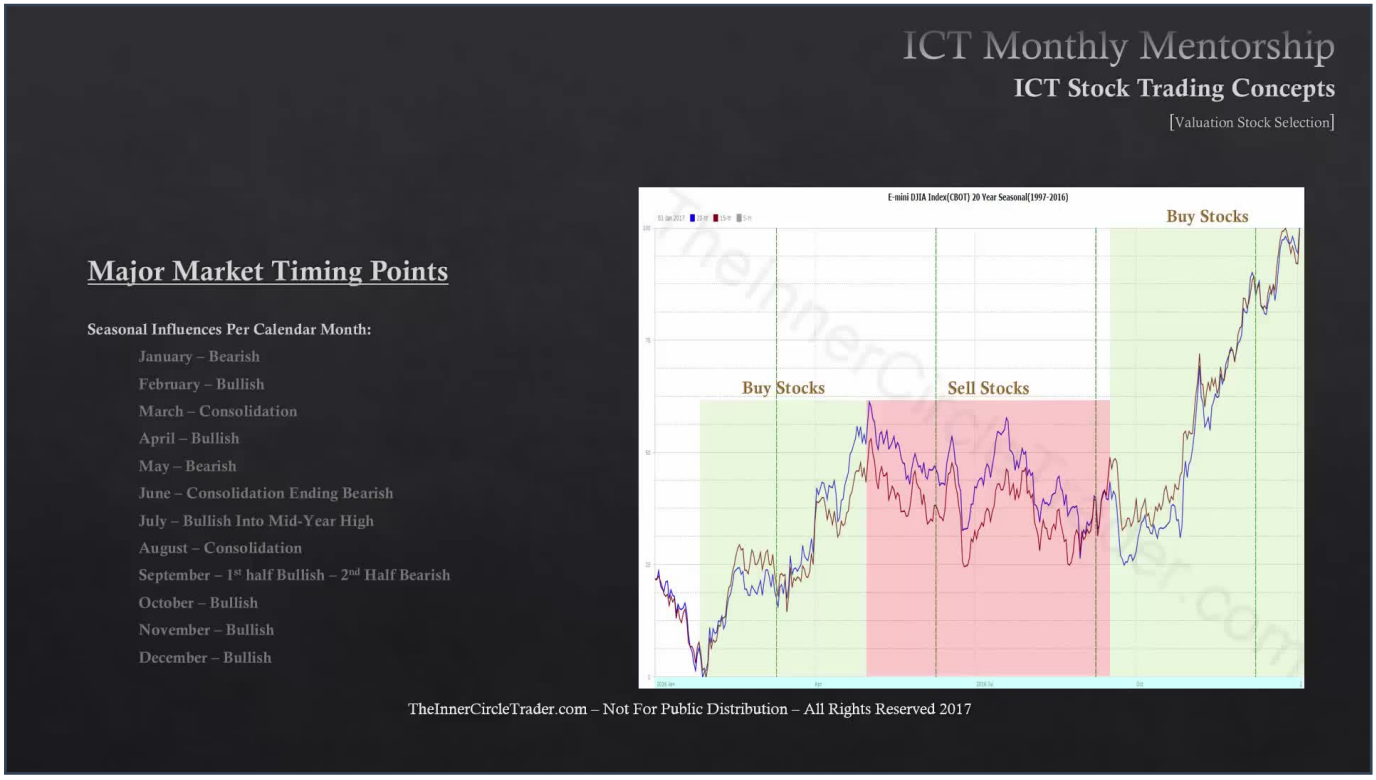
- The Dogs of the Dow.

- Strongest index stocks (S&P, Dow, NASDAQ).

We will filter Investors Business Daily's fundamentally ranked stocks, seeking those with optimal technicals, specifically looking for Index SMT (Smart Money Tool) divergences. While IBD provides strong fundamental ratings and relative strength, their technical interpretation differs from mine. My approach identifies stocks with fundamental merit (strong earnings, annual growth, 'new' factors, limited supply, leadership) and then applies institutional order flow, market structure, premium and discount arrays, and divergence between the three major averages for precise timing. Index stocks offer lower volatility and high liquidity, but growth stocks, while potentially explosive, carry higher risk. Our strategy is not buy-and-hold for decades; it's about capturing runs to new highs, with specific profit targets and sound money management, rather than O'Neill's 8 percent risk rule.



The upcoming fall session will include a practical demonstration of pricing and selecting stock options. The goal is to achieve significant returns (doubling, tripling, or quadrupling money) with low-cost call options, prioritizing 'velocity' over minor stock price increases. This contrasts with the 'buy-and-hold' mentality. Our strategy is to buy, hold for a premium, and sell when others are eager to buy. For instance, Amazon saw an explosive rally from $700 to $1,000, demonstrating that swing trading and reinvesting profits yield far greater returns than long-term investing. The mapped-out seasonal tendencies and buy/sell programs for the stock market, combined with knowledge of divergences and specific bullish/bearish months, are critical. For stock traders, focusing on swing trades during specific buying windows (February-May and late September-year-end) is essential, avoiding day trading. Institutional sponsorship drives sustained, long-drawn-out moves as big money continuously builds positions, buying at higher prices and propelling share appreciation.



This lesson provides theoretical insight, but the true learning will occur this fall during a live market session. We will identify the September to November period, waiting for foolish divergence in the three major market averages and a market trading at a discount. At that time, we will apply all these concepts using a current edition of Investors Business Daily. This process, while requiring some effort, is incredibly rewarding. You will witness how hand-picked index and growth stocks can significantly outperform traditional fund managers' annual returns, often exceeding 18-25 percent. Good luck and good trading until the next lesson.